

## PERSONAL NOTES

MY VIEW | MAY 2026

## URBAN COMPANY

## A great franchise at a price that already knows it

Category-defining home-services platform with a genuine, compounding moat in its core — but the equity is being asked to underwrite a ₹470 Cr-a-year bet on InstaHelp that it is not being paid to take.

Raghav | May 2026  
Price (May 2026)

₹131

Mkt cap

₹20,200 Cr

52-wk H / L

₹201 / ₹101

Net cash

₹1,885 Cr

Promoter / FI

19.0% / 55.8%

NSE / BSE

URBANCO / 544515

## INVESTMENT SUMMARY

## My view

Urban Company has built something rare in Indian consumer internet: a services marketplace whose core business earns money, whose oldest customer cohorts spend more each year than they did in year one, and which holds roughly three-quarters of the organised online home-services market it effectively created. I rate the business highly. I do not rate the share price highly.

At ₹131 the stock trades at 4.3x FY26 NTV and 8.5x FY27E revenue for a group that lost ₹235 Cr last year and will lose more this year. My DCF, my discounted view of management's own FY31 target, and my scenario work all land between ₹76 and ₹127. I put fair value at ₹115 (12% below the current price) and would start adding below ₹105, or earlier on hard evidence that InstaHelp's loss per order has turned.

Urban Company operates a full-stack marketplace for services delivered inside the home — beauty and wellness, appliance repair, cleaning, plumbing, painting, pest control — plus a hardware brand (Native: water purifiers and electronic door locks), an international business in the UAE and Singapore, and InstaHelp, a year-old daily housekeeping vertical. It is not a listings site: it trains the professional, sets the price, supplies the consumables, guarantees the work and owns the customer relationship. That distinction is the whole investment case.

- **The core is compounding, quietly.** India consumer services (ex-InstaHelp) grew NTV 26% YoY in Q4 FY26 — its fastest in eleven quarters — while adjusted EBITDA margin expanded to 3.3% of NTV from 1.6%. For FY26 the segment delivered ₹131 Cr of adjusted EBITDA on ₹3,167 Cr of NTV (4.1%), against a loss two years earlier. Management targets 9–10% of NTV at steady state; I model 8.5% by FY31E.
- **The moat is real and it is unusual.** It is not a network effect in the classical sense. It is supply productivity (monthly active hours per partner up from 59 in FY22 to 90 in FY26), micro-market density, and trust — 33.6 mn orders in FY26 rated 4.79/5, with facial recognition at the door and 100% of in-service images audited by AI. Cohort NTV retention is the proof: the FY18 cohort spent 1.9x its first-year value in FY26.
- **The sector is barely penetrated — and Urban Company is most of it.** India's home-services market was ₹5,100–5,210 bn in FY25 with online at ₹41–43 bn, under 1% penetration. Urban Company's India NTV of ₹31.7 bn is roughly three-quarters of that. The consequence is uncomfortable: the company cannot grow into a defined market, it has to create one. That is precisely what InstaHelp and Native are.
- **InstaHelp is the entire debate.** From nothing to 2.7 mn orders a quarter in twelve months, but at a ₹235 Cr FY26 adjusted EBITDA loss and a Q1 FY27 segment loss of ₹132 Cr on ₹11 Cr of revenue. Loss per order improved from ₹1,374 to ₹381 and then deteriorated to ₹447 in Q4. Management calls the competitive environment "irrational at times". I model the burn peaking at ₹470 Cr in FY27E.
- **The balance sheet can fund the fight; the valuation is the problem.** ₹2,021 Cr of cash at FY26-end, effectively no debt, and a core that generated ₹106 Cr of adjusted EBITDA ex-InstaHelp. My DCF at a 14.0% WACC and 6% terminal growth yields ₹76. Capitalising management's own ~₹1,000 Cr FY31 adjusted EBITDA

target at 26x and discounting back gives ₹112. Today's price implies FY36E free cash flow more than double my estimate.

## WHAT URBAN COMPANY ACTUALLY DOES

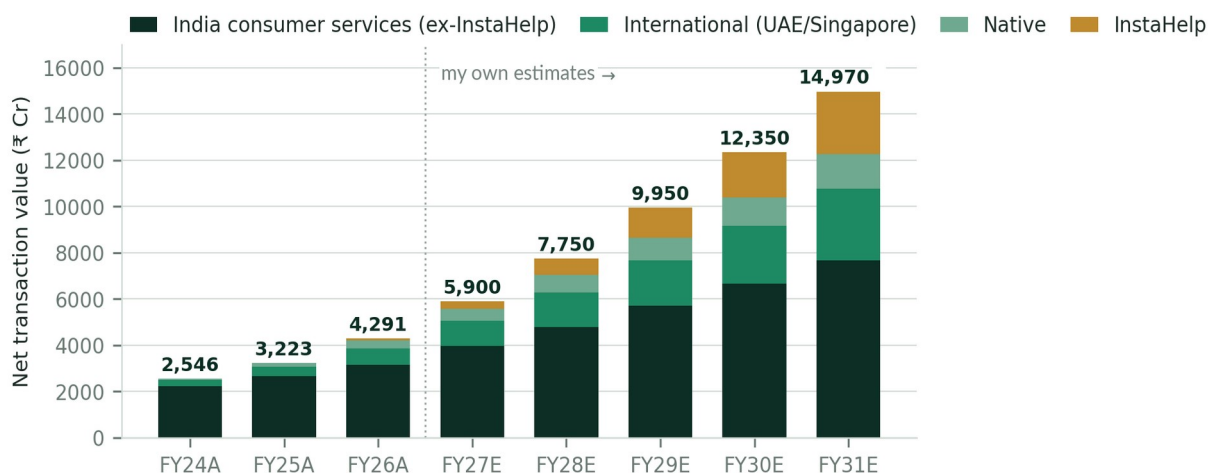
The business is best understood as four separate companies sharing one supply network, one app and one brand. Segment reporting was recut in FY26 to reflect exactly this.

| Segment (Q1 FY27)                      | Revenue (₹ Cr) | YoY         | Segment result (₹ Cr) | What it is                                       |
|----------------------------------------|----------------|-------------|-----------------------|--------------------------------------------------|
| India consumer services (ex-InstaHelp) | 356            | +31%        | 82                    | Beauty, wellness, repairs, cleaning, painting    |
| Native                                 | 95             | +60%        | (8)                   | Own-brand water purifiers, electronic door locks |
| International                          | 65             | +82%        | 3                     | UAE and Singapore marketplaces                   |
| InstaHelp                              | 11             | n.m.        | (132)                 | Daily housekeeping, sub-hour fulfilment          |
| <b>Consolidated</b>                    | <b>528</b>     | <b>+44%</b> | <b>(54)</b>           | <b>Reported net loss ₹(92) Cr; EPS ₹(0.60)</b>   |

Source: Urban Company Q1 FY27 results (31 July 2026). Segment result is before other income, finance costs, share-based payment and D&A. Negatives in parentheses.

Two structural points matter more than the segment labels. First, Urban Company recognises revenue as a take rate on net transaction value — roughly 36% of NTV at group level, and 34% in India core. NTV, not revenue, is the correct scale metric, and it is the one I value against. Second, the marketplace is not asset-light in the way the word is usually used: the company runs 27 training centres and employs around 575 full-time trainers, supplies tools and consumables to professionals (the "B2B2C products" line, ₹222 Cr in FY26), and underwrites insurance, credit access and now NPS pension enrolment for its partner fleet. That cost base is the moat, not an inefficiency.

### Exhibit 1: The core funds the options — but the new engines carry the growth



Source: Company shareholders' letters and filings, my own analysis. FY27E-FY31E my own estimates. Data as of May 2026.

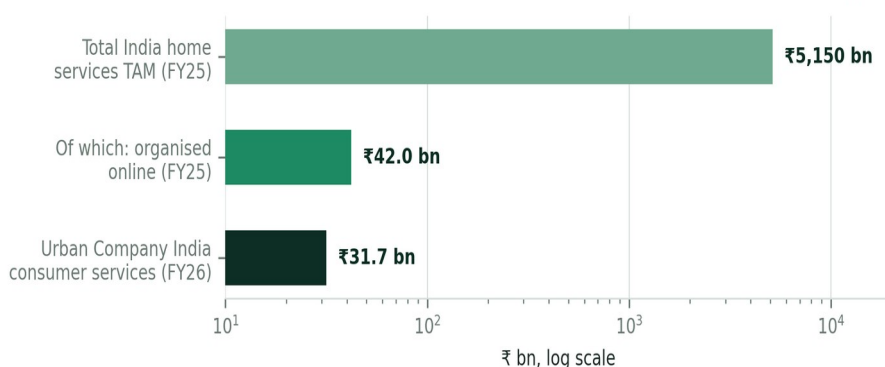
Company shareholders' letters; FY27E-FY31E my own estimates.

## THE SECTOR: ENORMOUS, INFORMAL, AND ALMOST ENTIRELY UN-SERVED

Redseer sizes India's home-services market at ₹5,100–5,210 bn in FY25, growing 10–11% annually to ₹8,400–8,580 bn by FY30. Almost all of it is a man with a phone number, paid in cash, found through a neighbour. The organised online slice was ₹41–43 bn in FY25 — under 1% of transaction value — and is forecast to compound 18–22% to ₹85–88 bn by FY30. Roughly 85–90% of that online demand sits in eight cities, where penetration is around 3.2%.

Three forces are widening the crack. Urban dual-income households are buying back time at a rate that outstrips wage growth for informal domestic labour, which is itself getting scarcer and more expensive. Quick commerce has trained a generation of urban consumers to expect a stranger at the door within the hour and to pay a premium for it — Redseer explicitly frames "instant home services" as the next habit loop. And the four labour codes notified in November 2025 begin to formalise platform work, which raises the compliance cost of scale in a way that penalises sub-scale competitors more than the incumbent.

**Exhibit 6: Online is <1% of the market — and Urban Company is ~three-quarters of online**



Source: Redseer Strategy Consultants via Urban Company RHP; company filings; my own analysis. Data as of May 2026.

Redseer Strategy Consultants via Urban Company RHP; company filings. UC figure is FY26 India consumer services NTV (₹3,167 Cr).

### The uncomfortable arithmetic in the TAM slide

Urban Company's FY26 India consumer-services NTV of ₹31.7 bn is already about 75% of Redseer's entire FY25 online home-services market, and about 37% of what that market is forecast to be in FY30. On the consultant's own numbers, the core business cannot deliver the growth the share price requires by taking share — there is not enough share left to take.

This is why I read InstaHelp and Native not as diversification but as necessity. InstaHelp attacks domestic help, a category Redseer does not count in the ₹42 bn at all. Native attacks appliances. The bull case is category creation, and category creation is expensive and contestable. Investors underwriting the current multiple should be clear that this — not penetration of a tidy defined market — is what they are buying.

## THE MOAT: WHERE IT IS REAL, AND WHERE IT IS NOT

Home services is a category where durable advantage has defeated well-funded operators worldwide, because the obvious moats do not apply. There is no meaningful cross-side network effect — a customer in Powai does not care how many electricians are available in Gurgaon. Switching costs are near zero. The obvious failure mode, disintermediation, is permanent: the customer meets the professional, likes them, and takes the number. What Urban Company has built instead is narrower and, I think, more durable.

### 1. Supply productivity, which competitors cannot buy

The scarce asset is not the customer, it is a trained professional earning enough to stay. Monthly active hours per partner rose from 59 in FY22 to 90 in FY26 across 59,473 monthly active partners. Higher utilisation raises partner earnings, which cuts churn, which raises service quality, which raises demand density, which raises utilisation again. A new entrant can buy customers with discounts in a quarter; it cannot buy a fleet of professionals who have been trained, certified through the NSDC partnership, insured, given credit access, and are earning middle-income

wages. Programmes like Udaan — 1,449 women trained and 883 enabled to buy two-wheelers, lifting their earnings ~14% — look like CSR and function as retention.

## 2. Micro-market density, which is a local-scale moat

Urban Company has been reconfiguring into smaller, tighter micro-markets, cutting partner travel time and shifting from scheduled to instant fulfilment under "UC Instant". Where consumers are offered a sub-60-minute slot against a scheduled one, a clear majority take the instant option, and instant bookings cancel less often. Density is won street by street, and it compounds: the leader in a micro-market has lower fulfilment cost and higher reliability than the challenger in the same micro-market, permanently. This is the same physics that made quick commerce a two-horse race.

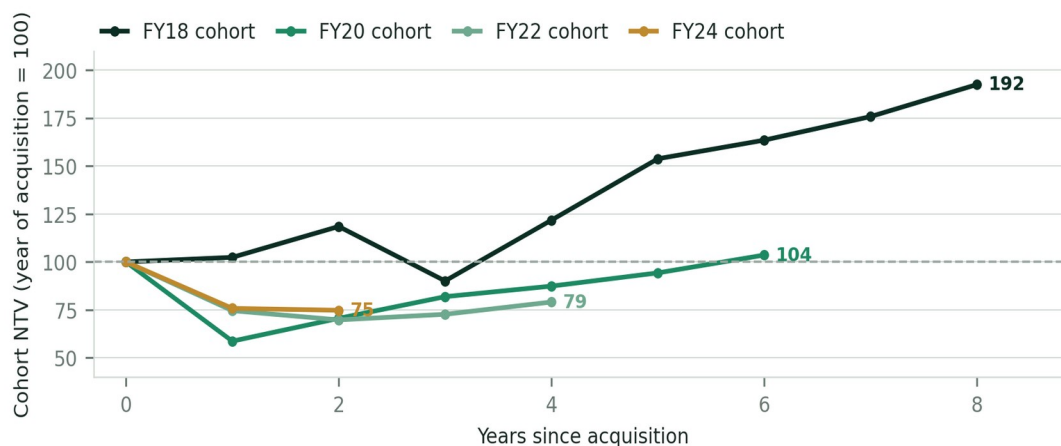
## 3. Trust, in the one place where trust is priced highest

The company's own framing is the sharpest version of the argument: for most e-commerce the interaction ends at the door; Urban Company steps inside. In FY26, 8.4 mn customers admitted a professional into bedrooms and bathrooms for an hour or more. The rating across 33.6 mn orders was 4.79 out of 5. Every professional is verified by facial recognition at the door, and 100% of in-service images are audited in real time against standard operating procedures by AI — 23.5 mn images in Q4 FY26 alone. In a market that is 99% informal and where the alternative carries genuine safety risk, a verifiable trust guarantee is a pricing power, and it is the reason disintermediation has not killed the model.

## 4. Cohorts that get more valuable with age

This is the hardest number in the note to argue with. Service NTV retention improved year-on-year for a third consecutive year. The FY18 cohort transacted 192.5% of its first-year NTV in FY26; the FY20 cohort is back above 100%; spend per retained user rose 5–8% across every cohort in FY26, with newer cohorts out-spending older ones at the same age. The share of India core NTV coming from retained users climbed from 72% in FY22 to 83% in FY26 — while new-user acquisition was accelerating. Negative dollar churn in a low-frequency services category is not normal.

**Exhibit 3: Old cohorts spend more, not less — the FY18 cohort is at 1.9x its first year**



Source: Company Q4 FY26 shareholders' letter (excludes KSA and Native), my own analysis. Data as of May 2026.

Company Q4 FY26 shareholders' letter, constant currency, excludes KSA and Native.

## 5. A data-to-product loop that only this company has

Native is the least appreciated part of the story. Urban Company's professionals service hundreds of thousands of other manufacturers' appliances every year, which tells the company exactly what breaks, when, and why — and that feeds product design. Native went from zero to ₹345 Cr of NTV in three years, more than half of its water purifiers were sold to people who had never used Urban Company before, and about 75% of the first eligible cohort paid roughly ₹5,000 to replace filters at the two-year mark. That is a recurring, high-margin annuity attached to an installed base, sold through a service network no appliance brand can replicate and serviced through an app no service network can replicate.

## 6. AI as a density multiplier, not a headline

An AI chat agent resolves 85% of customer queries end to end; AI agents resolve 55% of partner queries, cutting support cost per delivery 30% YoY; AI voice calls generate up to half of partner referrals; over 90% of code shipped

in March 2026 was written by GenAI with a flat engineering team. The significance is not the percentages. It is that the marginal cost of standing up and supervising a new micro-market keeps falling, which extends the density moat into cities where the economics previously did not work.

### Exhibit 7: The moat and the growth are not yet in the same place



Source: my own analysis assessment. Data as of May 2026.

My own assessment. Position on each axis is judgemental, not measured.

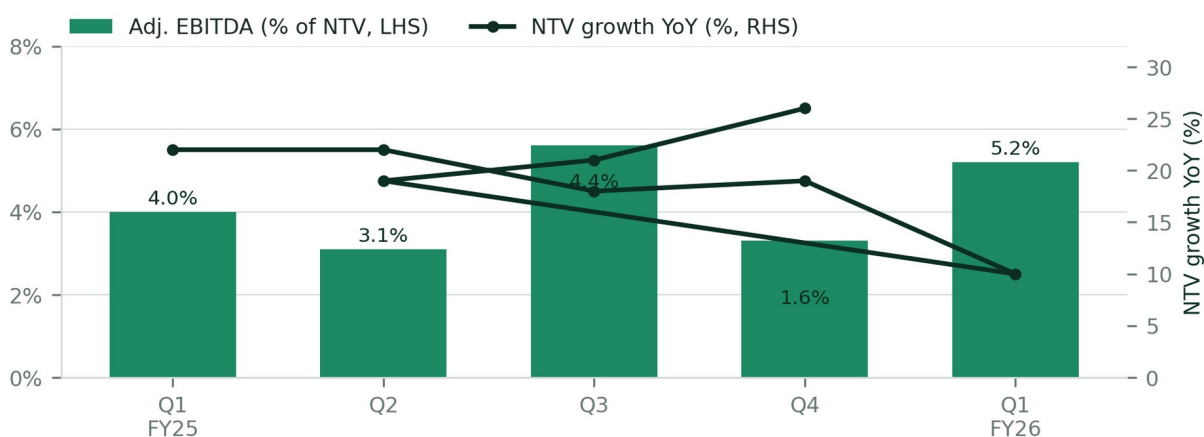
### Where the moat does not reach

None of the above protects InstaHelp today. It is a new category, at low order values, against funded specialists — the company names an "irrational at times" competitive environment — and the density advantage that protects appliance repair has to be rebuilt from scratch for daily housekeeping. Nor does the moat protect the take rate against a determined entry by a quick-commerce platform with an existing rider fleet and an existing habit. Finally, promoter holding is only 19.0%, with FIIs at 55.8% after falling from 67.4% two quarters earlier; ownership is concentrated in fast money, which is a technical, not a fundamental, vulnerability but a real one.

## FINANCIAL POSITION: A PROFITABLE CORE FUNDING A LARGE DELIBERATE LOSS

The reported P&L is close to useless for judging this business, and the reason is InstaHelp. FY26 consolidated adjusted EBITDA was ₹(129) Cr; excluding InstaHelp it was a positive ₹106 Cr, up from ₹12 Cr the prior year. Reported loss after tax of ₹(235) Cr further includes a ₹61 Cr non-cash deferred-tax write-down, itself a consequence of InstaHelp pushing taxable profits out. The useful frame is: a core compounding at roughly 20% NTV growth with expanding margins, minus one venture-stage investment.

### Exhibit 2: India core is growing faster and earning more at the same time



Source: Company shareholders' letters and filings, my own analysis. Data as of May 2026.

Company shareholders' letters. India consumer services excluding InstaHelp.

| ₹ Cr, year to March            | FY24A  | FY25A | FY26A  | FY27E  | FY28E  | FY29E |
|--------------------------------|--------|-------|--------|--------|--------|-------|
| Net transaction value          | 2,564  | 3,271 | 4,290  | 5,900  | 7,750  | 9,950 |
| NTV growth %                   | 23%    | 27%   | 33%    | 38%    | 31%    | 28%   |
| Revenue from operations        | 828    | 1,144 | 1,556  | 2,153  | 2,861  | 3,723 |
| Revenue growth %               | 30%    | 38%   | 36%    | 38%    | 33%    | 30%   |
| Contribution profit            | 482    | 637   | 762    | 1,050  | 1,410  | 1,860 |
| Contribution margin (% of NTV) | 18.8%  | 19.5% | 17.8%  | 17.8%  | 18.2%  | 18.7% |
| Adjusted EBITDA                | (119)  | 12    | (129)  | (249)  | 108    | 525   |
| Adj. EBITDA (% of NTV)         | (4.6)% | 0.4%  | (3.0)% | (4.2)% | 1.4%   | 5.3%  |
| Adj. EBITDA ex-InstaHelp       | (119)  | 12    | 106    | 221    | 398    | 625   |
| Share-based compensation       | (57)   | (73)  | (104)  | (114)  | (140)  | (164) |
| Reported PAT                   | (93)   | 240   | (235)  | (390)  | (65)   | 325   |
| EPS (₹)                        | n.m.   | 1.66  | (1.57) | (2.53) | (0.42) | 2.11  |
| Free cash flow                 | (124)  | 14    | (176)  | (393)  | (57)   | 341   |
| Cash and investments           | 1,316  | 1,630 | 2,021  | 1,630  | 1,575  | 1,920 |
| EV / NTV (x)                   | —      | —     | 4.3    | 3.1    | 2.4    | 1.8   |
| EV / Revenue (x)               | —      | —     | 11.8   | 8.5    | 6.4    | 4.9   |

Source: Company filings for FY24A–FY26A; my own estimates for FY27E–FY29E. FY25 PAT includes a ₹211 Cr deferred-tax credit; FY26 PAT includes a ₹61 Cr reversal. Multiples on EV of ₹18,315 Cr at CMP ₹131. Negatives in parentheses. E = my own estimate.

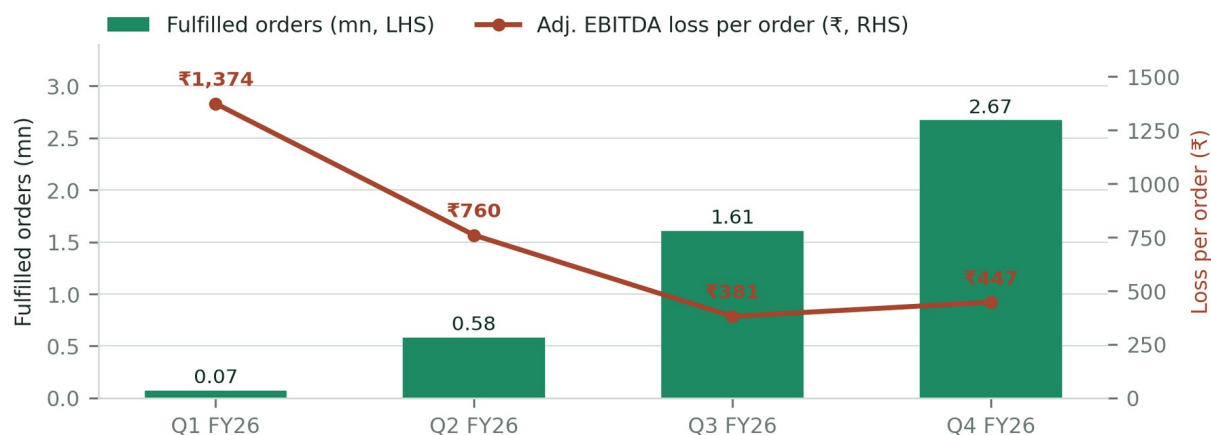
Two observations on quality. Contribution margin at group level fell from 19.5% to 17.8% of NTV in FY26 — that is entirely InstaHelp mixing in at negative contribution; India core contribution margin actually improved from 20.2% to 21.2%. And share-based compensation of ₹104 Cr in FY26 is real economic cost that adjusted EBITDA excludes; I deduct it in full in my cash-flow build below, which is a meaningful part of why my valuation is below the market's.



## THE INSTAHELP QUESTION

InstaHelp did not exist in April 2025. It fulfilled 2.7 mn orders in Q4 FY26, crossed 1.1 mn orders in March alone, and is already rated 4.70 out of 5. It also lost ₹235 Cr in FY26 and ₹132 Cr at the segment level in Q1 FY27 on ₹11 Cr of revenue. Management is unambiguous that this is a deliberate land grab: "I am investing aggressively to cement market leadership and will continue to do so."

### Exhibit 5: Volume is compounding; the loss curve stopped improving in Q4



Source: Company shareholders' letters and filings, my own analysis. Data as of May 2026.

Company Q4 FY26 shareholders' letter.

The unit-economics disclosure is unusually candid and worth reading closely. Adjusted EBITDA loss per order fell from ₹1,374 in Q1 FY26 to ₹381 in Q3, then rose to ₹447 in Q4 as marketing was stepped up to drive trials at lower average order values. Net order value fell from ₹172 to ₹150 against a stated steady-state target of ₹300; more than 30% of March orders were delivered at or above ₹200 with no drop in frequency. On the supply side, 38% of active partners exceeded 90 orders in March against a 100–110 target, and minimum-guarantee payouts have begun falling in older micro-markets. Monthly user retention is 30–33% with retained users placing around 2.5 orders a month.

Read charitably, these are the metrics of a business three or four quarters from the point where two-sided subsidies collapse toward zero. Read sceptically, Q4 was the first quarter in which per-order losses moved the wrong way, and it did so because the company chose to spend into a competitive fight it does not control. Both readings are available on the same data, which is exactly why the stock is volatile. My base case assumes the burn peaks at ₹470 Cr in FY27E and halves in FY28E; I would treat two consecutive quarters of rising loss per order alongside decelerating order growth as a thesis break.

## VALUATION

I triangulate across three methods and cross-check with scenarios. A ten-year explicit DCF carries 40% weight — the horizon is deliberately long because FY31 is nowhere near steady state for this business and a five-year model would understate it badly. Capitalising management's own FY31 adjusted EBITDA target and discounting it back carries 30%. A forward EV/NTV multiple carries 30%. The three do not agree, and the disagreement is the finding.

### WACC build

| Input                | Value                     | Basis                                                          |
|----------------------|---------------------------|----------------------------------------------------------------|
| Risk-free rate       | 6.50%                     | India 10-year G-Sec — assumption; verify against current level |
| Equity risk premium  | 6.50%                     | India ERP, my own my own assumption                            |
| Beta                 | 1.20                      | Assumed; <12 months of listed history, peer-derived            |
| Cost of equity       | 14.30%                    | $R_f + \beta \times ERP$                                       |
| Pre-tax cost of debt | 8.50%                     | Lease liabilities only; no borrowings                          |
| Tax rate             | 25.17%                    | Indian corporate rate                                          |
| Target debt weight   | 5%                        | Lease-adjusted; company is net cash                            |
| <b>WACC</b>          | <b>13.9% → 14.0% used</b> | <b>Rounded up for prudence</b>                                 |

Source: my own analysis. The risk-free rate and beta are single-point assumptions and are the two inputs to which the output is most sensitive.

### Free cash flow projection

| ₹ Cr                               | FY27E        | FY28E       | FY29E      | FY30E      | FY31E      | FY33E        | FY36E        |
|------------------------------------|--------------|-------------|------------|------------|------------|--------------|--------------|
| Net transaction value              | 5,900        | 7,750       | 9,950      | 12,350     | 14,970     | 20,640       | 28,200       |
| Adjusted EBITDA                    | (249)        | 108         | 525        | 875        | 1,087      | 1,670        | 2,640        |
| Adj. EBITDA (% of NTV)             | (4.2)%       | 1.4%        | 5.3%       | 7.1%       | 7.3%       | 8.1%         | 9.4%         |
| Less: share-based comp             | (114)        | (140)       | (164)      | (191)      | (217)      | (246)        | (274)        |
| Less: D&A                          | (25)         | (30)        | (35)       | (40)       | (45)       | (55)         | (70)         |
| <b>EBIT</b>                        | <b>(388)</b> | <b>(62)</b> | <b>326</b> | <b>644</b> | <b>825</b> | <b>1,369</b> | <b>2,296</b> |
| Less: tax (NOL-sheltered to FY29E) | —            | —           | —          | (81)       | (208)      | (344)        | (578)        |
| <b>NOPAT</b>                       | <b>(388)</b> | <b>(62)</b> | <b>326</b> | <b>563</b> | <b>617</b> | <b>1,024</b> | <b>1,718</b> |
| Add: D&A                           | 25           | 30          | 35         | 40         | 45         | 55           | 70           |
| Less: capex                        | (40)         | (40)        | (40)       | (47)       | (57)       | (80)         | (109)        |
| Change in working capital          | 10           | 15          | 20         | 25         | 30         | 40           | 55           |
| <b>Free cash flow to firm</b>      | <b>(393)</b> | <b>(57)</b> | <b>341</b> | <b>581</b> | <b>635</b> | <b>1,040</b> | <b>1,734</b> |

Source: my own estimates. FY32E, FY34E and FY35E modelled but omitted for space. Terminal value assumes 6.0% perpetual growth from FY36E.

### DCF output and sensitivity

At a 14.0% WACC and 6.0% terminal growth the model produces an enterprise value of ₹9,901 Cr, an equity value of ₹11,786 Cr and ₹76 per share. Terminal value is 70% of enterprise value — high, and I flag it: on this cost of capital, three-quarters of what an investor pays for today sits beyond FY36. Sensitivity across a 12–16% WACC and 4–8% terminal growth spans ₹54 to ₹142.



**Exhibit 9: DCF value per share (₹) — base case outlined**

|       |      |      |      |      |      |
|-------|------|------|------|------|------|
| 12.0% | 86   | 94   | 104  | 119  | 142  |
| 13.0% | 75   | 81   | 88   | 98   | 112  |
| 14.0% | 67   | 71   | 76   | 83   | 92   |
| 15.0% | 60   | 63   | 67   | 72   | 79   |
| 16.0% | 54   | 57   | 60   | 64   | 68   |
|       | 4.0% | 5.0% | 6.0% | 7.0% | 8.0% |

Terminal growth rate (g)

Source: my own analysis. Data as of May 2026.

My own analysis. Base case (14.0% / 6.0%) outlined.

**Cross-check 1: management's own target, discounted**

Management guides to consolidated adjusted EBITDA breakeven by Q3 FY28 and around ₹1,000 Cr of adjusted EBITDA by FY31. My bottom-up build arrives at ₹1,087 Cr for FY31E — marginally above guidance, which I am comfortable with given the India core margin trajectory. Capitalising that at 22x, 26x and 30x EV/EBITDA and discounting 4.7 years at 14% gives ₹96, ₹112 and ₹127 per share respectively. Note what the top of that range means: at ₹131 the market is paying more than 30x a target that is five years away and that requires a business currently losing ₹470 Cr a year to become profitable.

**Cross-check 2: peer multiples**

| Company                  | Mkt cap (₹ Cr) | Net cash (₹ Cr) | EV (₹ Cr) | FY26 rev (₹ Cr) | Rev growth | EV/Sales (x) | FY26 PAT (₹ Cr) |
|--------------------------|----------------|-----------------|-----------|-----------------|------------|--------------|-----------------|
| Urban Company            | 20,200         | 1,885           | 18,315    | 1,556           | +36%       | 11.8         | (235)           |
| Eternal (Zomato/Blinkit) | 291,875        | 17,972          | 273,903   | 54,364          | +169%      | 5.0          | Positive        |
| Swiggy                   | 74,882         | 15,053          | 59,829    | 23,053          | +51%       | 2.6          | (4,154)         |
| Median (ex-UC)           | —              | —               | —         | —               | +110%      | 3.8          | —               |

Source: Company filings; market data 30–May 2026 (Eternal and Swiggy prices per exchange-linked data providers). Cross-comparison of EV/Sales is of limited use: Urban Company books revenue as a ~36% take rate on NTV, whereas Eternal consolidates Blinkit on an inventory-led gross basis. On EV/NTV — the like-for-like metric — Urban Company trades at 4.3x FY26 and 3.1x FY27E against roughly 1x for Swiggy and roughly 3x for Eternal on comparable gross transaction values.

Applying 2.0x, 2.5x and 3.0x FY28E NTV of ₹7,750 Cr gives ₹113, ₹138 and ₹163 per share. This is the only method that supports the current price, and I weight it accordingly rather than heavily: the peer set is itself priced for long-duration growth, so agreement with peers is evidence about sentiment, not about value.

**Reverse DCF: what the market is assuming****What you have to believe at ₹131**

Holding my WACC, terminal growth and near-term forecasts constant, the current enterprise value of ₹18,315 Cr implies FY36E free cash flow to the firm of roughly ₹3,850 Cr — about 2.2x my estimate of ₹1,734 Cr. Getting there requires roughly ₹40,000 Cr of FY36 NTV against my ₹28,200 Cr, or a steady-state margin materially above management's own 9–10% of NTV guidance, or both.

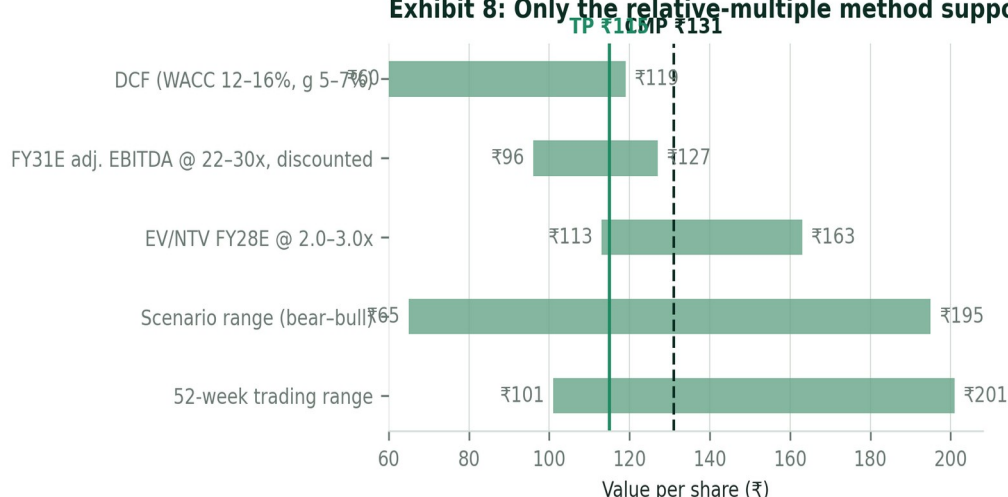
That is not impossible. It is what a genuine category-creation outcome looks like — InstaHelp becoming a daily habit at quick-commerce scale, Native becoming a ₹1,000 Cr revenue appliance brand, and the international business compounding at 25%+ for a decade. My objection is not that it cannot happen. It is that at ₹131 you are paid nothing for the risk that it does not.

## Scenarios and fair value

| Scenario                    | Prob.       | What changes                                                                                                                      | Value/share |
|-----------------------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------|-------------|
| Bull                        | 30%         | InstaHelp reaches ~₹6,000 Cr NTV by FY31 at positive contribution; FY31 adj. EBITDA ~₹1,700 Cr; market pays 30x                   | ₹175        |
| Base                        | 45%         | Blended DCF (40%), FY31 target at 26x discounted (30%), 2.5x FY28E EV/NTV (30%)                                                   | ₹105        |
| Bear                        | 25%         | InstaHelp burn persists into FY29, category economics do not close, business rerates to a 12% cost of capital core-only valuation | ₹65         |
| <b>Probability-weighted</b> | <b>100%</b> | <b>Rounded to nearest ₹5</b>                                                                                                      | <b>₹115</b> |

Source: my own analysis. Probabilities are my own judgement, not market-implied.

### Exhibit 8: Only the relative-multiple method supports today's price

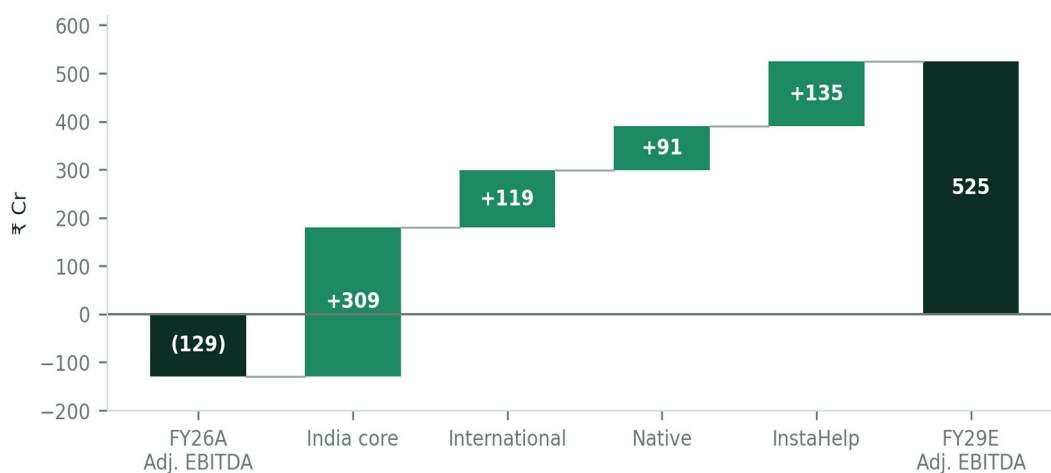


Source: my own analysis; NSE for trading range. Data as of May 2026.

My own analysis; NSE for 52-week trading range.

My view here with a fair value of ₹115, implying 12.2% downside from ₹131. To be explicit about what this call is and is not: it is a valuation call, not a business call. I would add meaningfully below ₹105 without any change to my forecasts, and add aggressively on evidence that InstaHelp's loss per order has resumed its decline for two consecutive quarters while order growth holds above 30% sequentially.

### Exhibit 4: A third of the swing to FY29E profitability is simply InstaHelp burning less



Source: my own estimates; FY26A per company filings. Data as of May 2026.

my own estimates; FY26A per company filings.

## RISKS TO MY VIEW

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- **InstaHelp economics close faster than I model (upside risk to my caution).** Two-sided subsidies are transitional by design; if net order value moves toward the ₹300 target while partner utilisation reaches 100–110 orders a month, the ₹470 Cr burn I forecast for FY27E could halve. I would revisit my view on two consecutive quarters of falling loss per order at sustained volume growth.
- **A quick-commerce platform enters home services at scale.** Eternal and Swiggy have rider fleets, hyperlocal density, consumer habit and far larger balance sheets. Home services need trained, background-verified professionals rather than riders, which is a real barrier — but it is a barrier of years, not of principle. This is the single largest structural risk to the core.
- **Gig-worker reclassification.** The four labour codes notified in November 2025 have so far cost the company ₹2.7 Cr in provisions. A rule set that treats service professionals as employees would strike directly at the contribution margin and, unlike a competitive threat, cannot be out-executed.
- **Ownership overhang.** FII holding fell from 67.4% in September 2025 to 55.8% in March 2026 while promoters hold only 19.0%. With a concentrated, mobile shareholder base and no controlling anchor, the stock can overshoot in both directions on flows rather than fundamentals.
- **Native input costs and international geopolitics.** Rupee depreciation and commodity prices flow directly into Native and B2B2C product gross margins, which management has said may dip near term. Separately, the UAE saw a 15–20% demand drop in the last weeks of Q4 FY26 as the Middle East conflict escalated; international is now 16% of NTV and rising.
- **Adjusted EBITDA is not cash earnings.** The headline metric excludes ₹104 Cr of FY26 share-based compensation and the resulting dilution. If SBC does not decline as a share of revenue on the path I assume, my per-share values fall roughly ₹6 for every ₹100 Cr of incremental annual SBC in the terminal year.